

CUSTOMER SHOPPING BEHAVIOR ANALYSIS

1. Project Overview

This project analysis customer shopping behavior using transactional data from 3900 purchases across various product categories. The goal is to uncover insights into spending patterns, customer segments, product preferences, and subscription behavior to guide strategic business decisions.

2. Dataset Summary

- Rows : 3900
- Columns : 18
- Key Features :
 - Customer demographics (age, gender, location, subscription status)
 - Purchase details (item purchased, category, purchase amount, season, size, color)
 - Shopping behavior (discount applied, promo code used, previous purchases, frequency of purchases, review rating, shipping type)
 - Missing data: 37 values in Review Rating column

3. Exploratory Data Analysis using Python

We began with data preparation and cleaning in Python:

- **Data Loading:** Imported the dataset using pandas.
- **Initial Exploration:** used `df.info()` to check structure.

	Customer ID	Age	Gender	Item Purchased	Category	Purchase Amount (USD)	...	Shipping Type	Discount Applied	Promo Code Used	Previous Purchases	Payment Method	Frequency of Purch
ases	1	55	Male	Blouse	Clothing	53	...	Express	Yes	Yes	14	Venmo	Fortnig
htly	2	19	Male	Sweater	Clothing	64	...	Express	Yes	Yes	2	Cash	Fortnig
htly	3	50	Male	Jeans	Clothing	73	...	Free Shipping	Yes	Yes	23	Credit Card	We
ekly	4	21	Male	Sandals	Footwear	90	...	Next Day Air	Yes	Yes	49	PayPal	We
ekly	5	45	Male	Blouse	Clothing	49	...	Free Shipping	Yes	Yes	31	PayPal	Annu

- **Missing Data Handling:** Checked for null values and imputed missing values in the Review Rating column using the median rating of each product category.
- **Column Standardization:** Renamed columns to **snake case** for better readability and documentation.
- **Future Engineering:**
 - Created **age_group** column by binning customer ages.
 - Created **purchased_frequency_days** column from purchase data.
- **Data Consistency Check:** Verified if `discount_applied` and `promo_code_used` were redundant; dropped `promo_code_used`.
- **Database Integration:** Connected Python script to PostgreSQL and loaded the cleaned DataFrame into the database for SQL analysis.

4. Data Analysis using SQL (Business Transactions)

We performed structured analysis in PostgreSQL to answer key business questions:

1. **Revenue by Gender** – Compared total revenue generated by male vs. female customers.

	gender text	revenue numeric
1	Female	75191
2	Male	157890

2. **High-Spending Discount Users** – Identified customers who used discounts but still spent above the average purchase amount.

	customer_id bigint	purchase_amount bigint
1	2	64
2	3	73
3	4	90
4	7	85
5	9	97
6	12	68
7	13	72
8	16	81
9	20	90
Total rows: 839 Query complete 00:00		

3. **Top 5 Products by Rating** – Found products with the highest average review ratings.

	item_purchased text	Average Product Rating numeric
1	Gloves	3.86
2	Sandals	3.84
3	Boots	3.82
4	Hat	3.80
5	Skirt	3.78

4. **Shipping Type Comparison** – Compared average purchase amounts between Standard and Express shipping.

	shipping_type text	round numeric
1	Standard	58.46
2	Express	60.48

5. **Subscribers vs. Non-Subscribers** – Compared average spend and total revenue across subscription status.

	subscription_status text	total_customers bigint	avg_spend numeric	total_revenue numeric
1	Yes	1053	59.49	62645.00
2	No	2847	59.87	170436.00

6. **Discount-Dependent Products** – Identified 5 products with the highest percentage of discounted purchases.

	item_purchased text	discount_rate numeric
1	Hat	50.00
2	Sneakers	49.00
3	Coat	49.00
4	Sweater	48.00
5	Pants	47.00

7. **Customer Segmentation** – Classified customers into New, Returning, and Loyal segments based on purchase history.

	customer_segment text	Number of Customers bigint
1	Loyal	3116
2	New	83
3	Returning	701

8. **top 3 Products per Category** – Listed the most purchased products within each category.

	item_rank bigint	category text	item_purchased text	total_orders bigint
1	1	Accessories	Jewelry	171
2	2	Accessories	Sunglasses	161
3	3	Accessories	Belt	161
4	1	Clothing	Blouse	171
5	2	Clothing	Pants	171
6	3	Clothing	Shirt	169
7	1	Footwear	Sandals	160
8	2	Footwear	Shoes	150
9	3	Footwear	Sneakers	145
10	1	Outerwear	Jacket	163
11	2	Outerwear	Coat	161

9. **Repeat Buyers & Subscription** – Checked whether customers with > 5 purchases are more likely to subscribe.

	subscription_status text	repeat_buyers bigint
1	No	2518
2	Yes	958

10. **Revenue by Age Group** – Calculated total revenue contribution of each age group.

	age_group text	total_revenue numeric
1	Young Adult	62143
2	Middle-aged	59197
3	Adult	55978
4	Senior	55763

5. Dashboard in Power BI

We built an interactive dashboard in **Power BI** to present insights visually.



6. Business Recommendations

- Focus on improving subscriber retention and purchase frequency, rather than transaction value alone.
- Convert non-subscribers into subscribers through long-term value proportions.
- Apply targeted marketing to high-value customer segments.